process of building knowledge and conducting hypothesis tests every day, and we dread a crisis.

Example 33: The reforms of 1991

The reforms of 1991 are linked, in the minds of many, to the balance of payments crisis and consequential IMF conditionality. A closer examination of that period, however, shows the policy pipeline that was established through the 1980s and made this possible.

The decades in which India grew at 3.5 per cent, while East Asia did much better, had made an enormous impression upon the policy community. The intellectual foundations of the 1991 reforms were laid by Jagdish Bhagwati, Padma Desai, T.N. Srinivasan, Arun Shourie, Manmohan Singh, Anne Krueger, Ashok Desai, Montek Ahluwalia, and the other pioneers of market-oriented policy thinking in India.

The government committee process had established key pillars for reform, including the Dagli Committee on controls and subsidies (1979), [3] the P.C. Alexander Committee on import-export policies and procedures (1977), the Abid Hussain Committee on trade policy (1984), and the G.S. Patel Committee on stock market reform (1984).

By the late 1980s, there was a community of key persons in a dozen ministries who were envisioning a market-oriented India. There was an entire community that was ready to play a leadership role in economic reforms. Indeed, it was the ideas of *this* community which were written into the IMF conditionalities of 1991.

If these elements of the policy pipeline had not been in place, ahead of time, the crisis of 1991—on its own—would not have induced the positive changes that it did. For a contrast, Pakistan has had twenty-one loans from the IMF from 1958 to 2019, but lacked the policy community and the early stages of the pipeline, through which these moments of crises could be turned into accomplishments for policymakers.